

Chapter Review

3-7b Key Terms

accrual (A revenue that has been earned or an expense that has been incurred but has not been recorded.)

accrual basis of accounting (A basis of accounting under which revenues and expenses are reported on the income statement in the period in which they are earned or incurred.)

Accumulated Depreciation (The contra asset account credited when recording the depreciation of a fixed asset.)

adjusted trial balance (The trial balance prepared after all the adjusting entries have been posted.)

adjusting entries (The journal entries that bring the accounts up to date at the end of the accounting period.)

adjusting process (An analysis and updating of the accounts when financial statements are prepared.)

book value of the asset (The difference between the cost of a fixed asset and its accumulated depreciation.)

cash basis of accounting (A basis of accounting under which revenues and expenses are reported on the income statement in the period in which cash is received or paid.)

contra accounts (An account offset against another account.)

deferral (A future revenue or expense initially recorded as a liability or asset.)

depreciate (To lose value or usefulness over time.)

depreciation (The systematic periodic transfer of the cost of a fixed asset to an expense account during its expected useful life.)

depreciation expense (The portion of the cost of a fixed asset that is recorded as an expense each year of its useful life.)

expense recognition principle

Fixed assets (Physical resources that are owned and used by a business and are permanent or have a long life; long-term or relatively permanent tangible assets such as equipment, machinery, buildings, and land that are used in normal business operations.)

matching principle (A concept of accounting in which expenses are matched with the revenue generated during a period by those expenses.)

prepaid expense

revenue recognition principle

unearned revenue

Vertical analysis (An analysis that compares each item in a current statement with a total or key amount within the same statement.)

